TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Treasurer's media release · ABC News
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New tax break for startup investors and a refocused R&D incentive

> The Treasurer has introduced the **Treasury Laws Amendment (Tax Reform No. 4) Bill 2026**. It creates an Innovative Business CGT Concession for early investors in young innovative firms, and it redesigns the R&D Tax Incentive to reward **core research**.

WHAT HAPPENED

- **CGT concession:** early investors in young innovative companies, which often start with little or no cost base, get a significant discount on future capital gains. The ABC reports this keeps startups on a 50% discount after the May Budget proposed removing it.
- Eligibility depends on a business's main activities being **innovation-related**. Safe-harbour rules are still being finalised.
- **R&D Tax Incentive (from 1 July 2028):** more generous support for core, experimental R&D, and less paperwork for supporting activities. The ABC reports core offset rates rise by up to 50%, and the refundable offset turnover threshold rises from $20m to $50m.
- **Venture capital (from 1 July 2027):** higher thresholds for VC incentives, and VC investors can use the new concession.
- The bill builds on a wider package of **$3.8 billion** in tax relief for businesses and start-ups.

Capital gains tax (CGT): tax on the profit from selling an asset.
Positive externality: a benefit to third parties. R&D spillovers are the classic example.

KEY NUMBERS

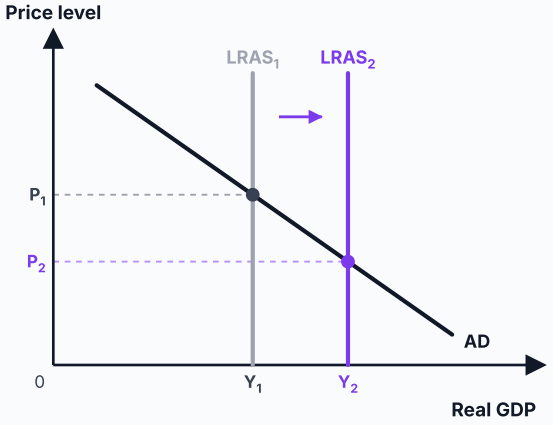
$20m → $50m
turnover threshold for the refundable R&D offset

up to 50%
higher core R&D offset rates

1 Jul 2028
R&D changes begin

$3.8b
wider business tax relief package

DIAGRAM — Supply-side reform lifts productive capacity



By encouraging more investment in innovation and R&D, the reforms aim to raise **productivity** and the economy's productive capacity. Long-run aggregate supply shifts from **$LRAS_1$ to $LRAS_2$**.

Real GDP rises from **Y_1 to Y_2** without extra inflationary pressure; the price level eases from P_1 to P_2. These benefits take years to arrive.

Exam angle: R&D creates **positive externalities** (knowledge spills over to other firms), so the market under-provides it. That is the efficiency case for a tax incentive. The costs are lost revenue and the risk that firms relabel ordinary activity as R&D.

FLOW CHART — How the incentive is meant to lift growth

Tax incentive lowers the after-tax cost of R&D → More investment in innovation → Knowledge spills over to other firms → Higher productivity → **LRAS shifts right; living standards rise**

SYLLABUS LINK

Topic 4 – **Microeconomic reform**: tax and innovation policy to raise productivity and long-run economic growth.

TRY THIS

Explain how microeconomic reforms that encourage innovation can improve Australia's long-run economic growth. **(4 marks)**

Treasurer – media release: https://ministers.treasury.gov.au/ministers/jim-chalmers-2022/media-releases/tax-reforms-support-innovation-and-investment
ABC News – markets blog, 27 Oct: https://www.abc.net.au/news/2026-10-27/asx-markets-business-live-news-anthropic/107312526